T-12 OPERATING STATEMENT

Granite Apartments | Richmond, VA

Property	Granite Apartments
Period Ending	January 2, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Orion Commercial Management
Size	235 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	472,221	434,932	442,812	473,834	478,069	465,491	429,592	461,843	443,741	470,348	471,178	480,923	5,524,983
4010 Loss to Lease	201,871	202,903	221,812	218,641	212,964	199,707	197,856	200,647	220,793	216,359	210,683	205,540	2,509,778
4020 Vacancy Loss	343,722	363,667	359,412	341,453	330,852	373,860	339,937	349,528	339,730	373,552	374,080	348,898	4,238,690
4030 Concessions	358,178	353,901	355,025	334,471	356,279	332,864	361,152	364,981	332,613	340,969	343,478	347,923	4,181,834
4040 Bad Debt	70,114	74,091	65,790	67,813	73,775	73,826	74,500	67,305	68,514	70,843	71,006	73,111	850,689
4050 Late Fees	138,079	132,769	136,912	124,082	136,279	134,030	129,947	134,757	139,075	134,065	125,402	133,005	1,598,401
4060 Utility Reimbursements	192,075	198,615	176,648	184,150	186,315	198,148	184,547	192,002	193,860	181,632	187,272	193,259	2,268,522
4070 Parking Income	332,914	346,690	360,343	344,987	319,248	349,730	342,833	360,130	339,609	339,473	314,898	318,712	4,069,567
4080 Application Fees	378,708	368,303	382,292	360,656	356,305	392,647	376,218	384,978	350,337	394,352	379,401	358,672	4,482,868
4090 Pet Rent	137,727	130,238	130,177	129,796	130,714	142,191	130,313	132,905	140,316	146,772	135,449	145,037	1,631,635
4100 Laundry Income	356,386	355,293	382,096	351,064	390,358	356,805	386,033	392,283	357,480	386,504	391,128	385,070	4,490,499
4110 Cable/Internet Revenue	45,212	43,875	44,065	43,537	44,676	40,614	41,572	41,855	44,360	40,706	43,869	42,116	516,456
4120 CAM Reimbursements	14,173	13,781	13,421	14,424	13,014	14,221	13,013	14,708	13,787	14,382	13,148	13,142	165,213
4130 Tax Reimbursements	97,627	94,537	103,131	96,732	102,902	101,513	104,971	100,241	94,322	101,974	98,043	101,270	1,197,263
4140 Insurance Reimbursemen	96,237	107,267	100,400	99,735	103,055	100,384	96,851	95,373	99,495	100,492	99,494	100,061	1,198,844
4150 Percentage Rent	333,628	340,471	335,138	320,851	314,566	310,879	338,797	303,470	319,125	326,031	306,459	314,948	3,864,363
4160 Misc. Income	45,758	46,051	47,843	42,545	44,532	45,735	43,553	42,527	42,889	48,067	46,994	46,717	543,210
4170 Payroll - Management	18,355	18,577	18,818	19,093	18,911	18,549	18,816	18,232	20,124	19,052	18,408	19,288	226,223
4180 Payroll - Leasing	24,820	25,637	24,977	23,996	24,100	23,939	24,058	23,121	23,223	25,856	25,435	24,608	293,772
4190 Payroll - Maintenance	40,034	39,197	36,140	38,580	35,191	39,993	35,799	38,472	38,387	37,080	35,735	35,561	450,168
4200 Payroll Taxes & Benefits	46,959	50,775	48,278	45,363	45,407	47,251	47,704	47,485	50,652	46,139	44,280	45,037	565,328
4210 Repairs - Plumbing	43,243	46,037	41,066	45,087	44,546	43,963	43,341	44,977	46,202	43,456	45,320	44,480	531,720
4220 Repairs - HVAC	50,524	54,696	52,654	50,256	49,218	48,685	53,641	51,669	53,833	49,485	53,551	51,144	619,358
4230 Repairs - Electrical	14,753	14,488	14,576	14,058	13,910	14,274	14,291	14,733	14,049	13,163	13,564	14,549	170,408
4240 Repairs - Appliances	38,517	37,082	41,003	37,557	36,660	39,177	37,880	36,357	38,870	39,808	39,836	40,428	463,174
4250 Painting & Decorating	29,246	32,690	31,521	32,612	29,668	31,191	29,704	32,306	31,715	31,707	32,554	30,823	375,738
4260 Flooring	22,489	23,842	22,822	24,154	22,529	21,972	22,181	24,370	22,720	21,924	22,995	23,796	275,794

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	52,532	46,672	48,349	47,849	48,414	48,181	49,208	46,598	53,316	50,835	50,905	51,151	594,012
4460 Management Fee	33,518	31,731	31,639	32,720	31,424	32,810	30,344	32,515	33,773	31,655	33,329	31,715	387,174
4470 Property Insurance	5,446	5,323	5,099	5,419	5,260	4,824	5,196	5,373	5,039	4,861	5,049	5,378	62,265
4480 Real Estate Taxes	18,466	19,170	17,213	18,228	19,517	19,412	19,384	18,040	18,770	18,822	19,253	17,757	224,032
4490 Asset Management Fee	40,001	42,416	40,604	42,112	37,326	39,896	39,688	38,472	39,275	41,733	38,323	38,024	477,870
4500 Replacement Reserves	5,049	4,857	5,145	4,700	4,796	4,796	4,651	5,188	4,728	4,912	4,897	4,631	58,349
4510 Roof Repairs	29,992	29,662	33,092	33,383	31,393	30,581	30,851	29,671	29,932	32,202	33,193	30,495	374,445
4520 Parking Lot Repairs	12,992	12,918	11,848	12,717	11,559	12,510	11,792	12,831	12,029	12,375	12,362	12,991	148,923
4530 Signage	48,480	51,022	51,696	51,658	48,935	52,531	50,593	49,350	49,073	50,714	48,410	47,303	599,763
4540 Tenant Improvements	18,707	19,983	20,362	18,705	18,374	19,325	18,809	20,401	20,217	18,674	19,046	18,698	231,301
4550 Leasing Commissions	12,271	11,396	11,055	12,384	11,576	11,129	11,013	11,062	12,410	12,321	12,187	11,163	139,968
4000 Gross Potential Rent	447,950	458,256	435,620	454,736	463,982	448,598	468,828	448,930	426,134	482,152	440,213	471,903	5,447,301
4010 Loss to Lease	43,878	42,147	45,434	45,335	40,897	43,829	42,700	43,262	44,802	39,864	45,117	44,650	521,914
4020 Vacancy Loss	182,945	194,011	190,221	200,414	192,867	203,854	184,036	196,625	193,791	191,434	186,229	187,608	2,304,034
4030 Concessions	147,714	148,006	136,218	134,114	131,437	137,437	132,743	142,454	148,654	140,281	139,712	134,749	1,673,517
4040 Bad Debt	62,793	65,663	67,197	67,206	64,827	68,302	61,641	62,330	69,351	69,125	67,723	66,271	792,428
4050 Late Fees	230,190	225,954	205,974	228,500	220,249	210,747	228,612	207,945	213,564	207,623	223,385	220,540	2,623,283
4060 Utility Reimbursements	192,553	210,773	212,269	202,922	202,198	202,720	204,220	203,601	212,768	192,034	212,974	193,696	2,442,727
4070 Parking Income	408,731	363,344	409,118	375,365	411,815	411,266	384,217	368,481	408,908	380,950	386,864	395,870	4,704,930
4080 Application Fees	77,803	77,617	69,945	69,436	71,445	73,996	76,493	70,725	71,071	76,771	73,814	71,179	880,295
4090 Pet Rent	17,215	16,876	16,183	16,073	17,132	16,708	16,126	16,392	17,662	16,086	16,793	16,449	199,693
4100 Laundry Income	305,715	342,815	304,025	315,278	307,193	341,506	341,947	307,293	347,935	316,003	323,996	332,544	3,886,252
4110 Cable/Internet Revenue	43,410	45,896	48,944	43,444	48,591	48,557	44,917	44,065	45,380	46,505	42,992	43,812	546,513
4120 CAM Reimbursements	176,995	176,844	187,303	178,184	168,566	171,429	175,042	181,036	167,128	184,483	185,623	175,554	2,128,186
4130 Tax Reimbursements	139,398	143,676	137,335	132,544	139,559	133,994	139,182	133,979	137,103	145,165	142,685	135,823	1,660,442
4140 Insurance Reimbursemen	294,124	300,111	282,308	266,579	285,045	269,098	279,559	263,948	287,072	286,754	266,717	288,263	3,369,577
4150 Percentage Rent	318,866	307,880	324,024	328,038	318,625	343,528	341,815	319,854	304,228	338,604	341,081	327,885	3,914,429
4160 Misc. Income	359,350	334,292	330,664	331,468	346,638	320,781	329,834	351,747	332,769	323,711	323,780	347,608	4,032,641
4170 Payroll - Management	27,382	29,757	28,400	27,628	28,828	26,415	28,533	28,521	26,277	29,195	29,681	26,450	337,065
4180 Payroll - Leasing	16,384	17,660	17,244	17,381	16,802	16,368	17,037	16,902	18,113	18,564	17,803	17,865	208,122
4190 Payroll - Maintenance	47,908	48,329	43,338	43,661	46,406	43,929	43,601	45,606	48,991	49,015	45,131	47,953	553,867
4200 Payroll Taxes & Benefits	43,104	47,434	43,296	45,513	42,372	45,886	46,466	45,120	47,111	44,826	45,470	46,206	542,804
4210 Repairs - Plumbing	38,737	39,900	41,504	38,136	37,991	39,740	38,711	37,337	41,099	40,817	41,271	40,787	476,030
4220 Repairs - HVAC	53,614	52,252	48,992	51,619	54,115	54,858	54,987	55,953	54,220	55,740	55,411	55,005	646,767
4230 Repairs - Electrical	29,155	28,175	27,857	27,622	25,534	28,042	26,865	26,171	28,060	28,912	25,717	29,225	331,334
4240 Repairs - Appliances	19,877	19,556	17,658	17,594	19,232	19,506	17,650	18,242	19,788	18,284	19,126	18,271	224,785
4250 Painting & Decorating	8,423	8,362	8,635	7,800	7,862	7,713	7,850	8,510	8,026	7,934	8,760	8,087	97,963
4260 Flooring	36,364	38,346	35,375	38,721	34,640	35,680	38,804	38,672	39,613	36,685	34,824	39,051	446,774
4270 Make-Ready / Turnover	40,800	45,378	40,768	40,414	42,994	40,456	46,036	41,671	44,892	41,301	44,705	42,488	511,904
4280 Landscaping Contract	37,434	33,672	36,995	35,459	34,265	35,006	35,364	36,211	36,142	37,791	34,158	36,127	428,623
4290 Snow Removal	27,510	26,621	28,137	29,626	30,263	26,676	29,844	29,793	29,344	28,313	28,288	27,848	342,262
4300 Janitorial	12,647	12,296	12,646	11,666	12,424	12,309	12,450	12,451	12,059	13,253	13,077	11,871	149,149
4310 Pest Control	55,304	51,857	53,828	53,300	54,626	55,004	49,869	53,793	52,291	48,220	52,315	49,273	629,680
4320 Trash Removal	5,488	5,786	6,017	5,304	5,944	5,584	5,757	5,358	5,878	5,347	5,677	6,019	68,160
4330 Elevator Contract	28,960	27,591	26,766	26,460	26,036	26,708	26,310	25,996	26,018	26,328	25,489	28,010	320,673

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Operating Performance

The going-in capitalization rate of 8.14% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Resident turnover has averaged 11.7% annually with renewal retention above 91.5%. Effective gross income for the trailing period was $93,000, representing a 12.3% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. The going-in capitalization rate of 7.73% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Average in-place rent is $1,915 per month against an average unit size of 997 square feet.

Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Collections for the period were 91.9% of billed charges, with bad debt of 7.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

Collections for the period were 94.5% of billed charges, with bad debt of 7.3% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Service requests are tracked through a work-order system with an average completion time of 15 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,915 per month against an average unit size of 997 square feet.

Resident turnover has averaged 3.7% annually with renewal retention above 94.8%. Operating expenses totaled $427,000 or approximately 6.34 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.69x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Resident turnover has averaged 10.6% annually with renewal retention above 94.1%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Service requests are tracked through a work-order system with an average completion time of 35 hours. Average in-place rent is $1,915 per month against an average unit size of 997 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Service requests are tracked through a work-order system with an average completion time of 21 hours. Collections for the period were 90.4% of billed charges, with bad debt of 6.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members.

Income and Expense Review

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 6.70% reflects the in-place income and the stabilized occupancy assumption.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	39,619	35,060	38,631	35,780	39,065	38,461	35,216	35,050	38,723	39,228	35,995	35,382	446,209
4370 Gas - Common	39,439	35,028	39,602	35,940	39,611	38,788	35,279	39,398	35,511	39,042	36,879	35,106	449,623
4380 Water & Sewer	29,486	28,884	29,365	27,938	28,210	26,232	26,698	26,488	27,640	26,683	27,162	27,762	332,548
4390 Telephone/Internet	44,739	50,676	50,569	49,905	46,159	47,403	50,290	46,523	45,953	45,704	45,882	49,404	573,206
4400 Advertising	37,871	39,740	37,881	41,109	41,896	38,637	41,377	37,858	42,571	42,105	40,873	37,730	479,649
4410 Resident Events	41,708	39,242	40,705	39,271	41,917	40,127	37,379	42,388	39,612	39,713	39,465	38,490	480,016
4420 Office Supplies	50,502	47,801	51,218	50,102	45,139	49,455	47,221	48,827	49,847	45,976	48,406	44,973	579,467
4430 Legal & Professional	14,828	14,350	14,261	14,543	14,430	14,985	14,619	13,307	13,447	14,359	13,669	15,060	171,857
4440 Accounting & Audit	54,122	48,923	52,630	51,459	47,936	54,218	51,119	51,316	53,497	49,781	49,354	47,590	611,944
4450 Licenses & Permits	18,293	18,391	18,491	17,679	18,429	18,768	18,476	17,096	16,755	18,929	17,990	16,908	216,205
4460 Management Fee	35,940	37,983	38,524	38,669	36,203	36,122	39,408	41,049	39,314	36,695	37,405	36,505	453,817
4470 Property Insurance	43,096	45,434	43,022	42,836	44,279	42,303	41,036	46,412	44,698	41,821	44,154	43,666	522,758
4480 Real Estate Taxes	20,247	18,416	19,746	19,553	20,114	18,994	19,965	19,002	19,507	19,975	19,554	19,325	234,399
4490 Asset Management Fee	34,472	38,603	36,655	34,508	37,434	37,497	33,689	34,493	38,188	35,093	35,532	37,143	433,308
4500 Replacement Reserves	34,893	35,714	33,900	37,200	34,009	34,711	35,722	34,367	36,189	34,276	37,881	33,471	422,332
4510 Roof Repairs	16,836	16,554	16,567	17,425	17,690	16,318	16,316	16,340	16,330	17,838	16,544	16,532	201,291
4520 Parking Lot Repairs	40,334	40,184	43,044	38,172	38,489	38,625	41,247	38,362	39,825	39,615	40,964	40,733	479,592
4530 Signage	31,855	34,141	34,357	34,856	32,128	34,314	34,338	30,765	33,152	34,657	31,861	34,219	400,642
4540 Tenant Improvements	15,452	14,024	14,957	15,222	13,971	15,249	14,516	14,876	14,667	13,947	15,389	15,220	177,492
4550 Leasing Commissions	25,052	24,823	23,952	26,632	23,419	24,180	24,596	23,388	24,018	24,348	24,994	24,112	293,516
4000 Gross Potential Rent	477,578	426,802	477,156	437,350	442,568	482,050	463,346	422,198	441,698	436,229	424,196	435,221	5,366,391
4010 Loss to Lease	326,542	298,228	333,449	322,332	303,782	316,253	336,368	312,686	315,318	300,173	320,482	328,519	3,814,131
4020 Vacancy Loss	391,884	424,722	425,133	406,951	409,353	393,819	413,311	404,208	399,820	380,747	426,966	403,149	4,880,063
4030 Concessions	131,676	132,882	126,118	132,910	132,001	120,146	116,559	124,889	120,257	130,275	130,691	133,266	1,531,670
4040 Bad Debt	198,690	196,034	207,802	189,123	202,398	201,913	195,728	207,958	193,391	197,150	194,745	215,172	2,400,103
4050 Late Fees	189,613	194,237	197,821	205,716	196,135	202,581	199,481	192,567	202,109	198,121	206,047	208,788	2,393,215
4060 Utility Reimbursements	189,345	192,102	177,654	182,483	182,079	191,917	179,660	191,988	171,704	190,124	182,826	186,784	2,218,667
4070 Parking Income	209,881	193,817	216,983	194,757	217,795	196,550	195,725	193,846	203,957	193,619	213,386	197,164	2,427,480
4080 Application Fees	377,930	381,729	357,463	339,901	357,390	380,485	366,347	356,726	370,850	374,378	341,133	365,210	4,369,543
4090 Pet Rent	303,484	289,910	300,291	280,087	317,280	317,580	301,707	309,084	314,013	296,510	300,120	283,733	3,613,798
4100 Laundry Income	56,430	55,137	57,659	52,776	57,773	56,311	56,113	53,829	55,603	57,940	57,618	58,803	675,991
4110 Cable/Internet Revenue	172,408	161,520	174,383	155,935	164,001	167,143	162,554	172,412	163,197	177,613	155,594	174,206	2,000,964
4120 CAM Reimbursements	270,269	260,306	279,255	261,117	273,313	266,704	264,958	266,472	276,565	283,663	254,512	274,872	3,232,007
4130 Tax Reimbursements	52,040	51,287	53,195	52,657	57,419	55,434	55,660	58,431	53,263	52,189	58,581	51,431	651,586
4140 Insurance Reimbursemen	267,377	264,820	260,746	260,750	253,440	271,654	247,883	253,999	246,008	246,497	246,336	273,219	3,092,731
4150 Percentage Rent	90,155	85,241	88,302	96,197	85,637	85,818	90,649	85,029	96,143	85,521	88,091	86,615	1,063,398
4160 Misc. Income	174,436	164,699	167,937	171,089	157,897	168,134	160,116	153,216	158,103	160,638	167,294	157,595	1,961,154
4170 Payroll - Management	31,189	31,594	33,073	31,660	31,378	32,463	32,437	32,304	35,079	31,866	31,466	32,026	386,535
4180 Payroll - Leasing	23,193	25,536	26,113	23,655	23,601	25,744	24,741	25,539	23,413	24,629	24,301	24,851	295,314
4190 Payroll - Maintenance	36,403	35,075	33,962	36,845	34,632	33,003	33,191	36,112	35,299	33,641	35,499	35,362	419,023
4200 Payroll Taxes & Benefits	25,635	25,505	25,314	26,734	25,946	28,160	26,579	27,461	28,796	28,055	27,880	27,328	323,393
4210 Repairs - Plumbing	47,779	45,032	44,879	49,897	50,391	49,566	46,036	46,050	46,502	45,299	45,839	46,354	563,625
4220 Repairs - HVAC	51,342	47,486	48,997	46,477	45,806	48,805	52,333	49,083	50,195	48,978	49,537	46,214	585,254
4230 Repairs - Electrical	22,722	22,472	22,033	20,318	21,466	20,991	22,861	20,265	22,747	20,489	21,236	21,020	258,619
4240 Repairs - Appliances	52,332	49,343	49,027	50,211	49,075	50,003	53,650	50,358	49,035	53,257	53,867	53,123	613,283
4250 Painting & Decorating	24,266	24,899	25,023	23,622	26,414	23,705	24,272	23,515	26,601	25,630	24,455	24,172	296,574

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Valuation Discussion

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $470,000, representing a 5.5% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 3.0% annually with renewal retention above 90.6%.

Operating expenses totaled $20,000 or approximately 12.16 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.9% annually with renewal retention above 95.6%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period.

Property Operations

Resident turnover has averaged 11.8% annually with renewal retention above 93.2%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 31 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

Service requests are tracked through a work-order system with an average completion time of 28 hours. Collections for the period were 88.6% of billed charges, with bad debt of 7.5% of gross potential income. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Resident turnover has averaged 5.1% annually with renewal retention above 94.9%.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Effective gross income for the trailing period was $475,000, representing a 10.2% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $129,000 or approximately 22.88 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.14x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Operating expenses totaled $300,000 or approximately 23.14 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 4.9% annually with renewal retention above 91.5%. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Collections for the period were 93.4% of billed charges, with bad debt of 3.4% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 21 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

Operating Performance

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.76x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $129,000, representing a 3.3% increase over the prior year. Average in-place rent is $1,915 per month against an average unit size of 997 square feet.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	25,088	27,828	26,191	27,285	28,189	28,321	24,819	26,882	25,562	27,312	27,548	27,271	322,296
4210 Repairs - Plumbing	32,658	33,182	32,263	33,493	33,153	33,128	34,414	34,770	35,340	32,577	35,499	34,176	404,651
4220 Repairs - HVAC	7,286	7,947	7,032	7,723	7,417	7,797	7,337	7,945	7,992	7,027	7,301	7,434	90,237
4230 Repairs - Electrical	9,957	9,687	10,334	10,229	10,435	10,047	10,950	10,421	9,562	10,439	10,902	9,897	122,860
4240 Repairs - Appliances	47,387	44,710	47,559	45,083	45,235	47,730	47,232	48,143	48,920	48,862	47,844	46,133	564,840
4250 Painting & Decorating	48,817	52,991	52,865	49,139	50,774	48,746	48,450	51,696	51,333	48,791	48,539	53,319	605,460
4260 Flooring	14,887	14,433	16,237	14,955	14,617	15,810	15,011	16,026	16,122	15,684	14,413	15,691	183,888
4270 Make-Ready / Turnover	23,409	23,937	23,922	25,414	23,653	23,429	23,718	22,321	22,964	23,494	25,149	23,471	284,880
4280 Landscaping Contract	44,352	50,050	50,225	46,103	47,776	50,640	47,693	48,238	47,232	48,788	45,006	46,431	572,534
4290 Snow Removal	30,117	27,701	27,926	27,545	30,414	30,925	29,253	28,907	28,315	30,074	28,159	27,876	347,212
4300 Janitorial	22,935	20,796	20,457	20,613	20,217	21,349	21,229	21,794	21,503	21,780	21,842	21,346	255,859
4310 Pest Control	31,989	32,280	32,444	31,862	32,069	30,796	29,416	30,686	31,658	31,511	31,731	29,303	375,744
4320 Trash Removal	52,685	50,298	50,402	51,679	49,975	55,118	51,382	49,113	48,437	52,392	54,900	50,349	616,731
4330 Elevator Contract	44,758	46,218	44,142	44,540	42,509	43,862	43,941	47,131	46,481	45,936	45,211	42,253	536,980
4340 Fire & Life Safety	45,562	48,902	45,851	46,434	48,807	45,412	50,165	50,752	50,015	51,080	49,670	49,197	581,848
4350 Security	32,371	36,045	33,286	33,923	33,704	35,138	32,927	35,666	35,132	35,159	33,428	35,151	411,929
4360 Electricity - Common	7,615	7,809	7,107	7,894	7,152	7,724	7,433	7,256	7,879	7,201	7,827	7,555	90,451
4370 Gas - Common	25,898	24,753	22,803	25,457	23,442	23,267	23,919	23,866	23,449	23,958	24,743	22,673	288,228
4380 Water & Sewer	33,916	32,634	31,705	33,512	31,961	33,149	30,032	30,844	31,683	31,607	33,415	29,770	384,228
4390 Telephone/Internet	14,865	16,030	15,625	16,006	14,944	14,860	15,777	15,623	15,034	15,704	16,015	16,572	187,055
4400 Advertising	18,994	19,205	19,968	18,668	17,932	17,844	19,814	18,576	18,442	18,589	18,489	20,311	226,832
4410 Resident Events	11,347	11,030	11,051	10,956	11,600	11,249	11,248	10,877	10,507	11,327	11,162	10,215	132,569
4420 Office Supplies	40,886	40,689	39,096	36,877	36,571	39,213	41,043	37,440	38,563	40,566	37,448	39,559	467,951
4430 Legal & Professional	47,433	50,096	47,199	45,158	47,482	45,644	47,426	49,006	46,209	49,149	46,413	47,101	568,315
4440 Accounting & Audit	40,985	39,456	41,670	42,589	41,663	42,834	39,922	42,596	44,221	41,973	43,125	43,796	504,831
4450 Licenses & Permits	4,802	5,455	4,900	5,196	5,003	4,931	5,185	5,262	5,357	5,324	5,482	5,038	61,935
4460 Management Fee	22,941	24,058	25,145	25,399	24,145	25,482	24,431	23,245	24,202	23,321	24,873	23,337	290,580
4470 Property Insurance	6,834	6,550	6,959	6,778	6,763	7,086	6,371	6,841	6,752	6,829	6,594	6,698	81,055
4480 Real Estate Taxes	23,445	24,634	25,937	24,710	23,783	24,152	24,301	23,330	25,857	22,894	24,442	25,891	293,375
4490 Asset Management Fee	52,133	49,791	53,451	53,429	47,489	53,330	47,624	50,495	48,497	48,263	49,599	53,834	607,935
4500 Replacement Reserves	27,941	26,826	25,880	25,857	27,223	28,216	25,794	28,241	26,972	27,930	27,545	27,261	325,686
4510 Roof Repairs	36,339	34,968	38,448	37,549	38,824	36,555	37,628	39,190	35,834	36,474	37,101	35,670	444,580
4520 Parking Lot Repairs	34,928	31,559	32,498	31,414	35,212	31,420	31,985	31,837	32,983	35,919	32,413	34,187	396,357
4530 Signage	14,633	13,655	15,369	14,091	13,817	13,546	14,320	13,884	14,819	14,700	13,905	14,964	171,704
4540 Tenant Improvements	27,441	24,532	27,785	25,716	26,077	26,753	27,984	26,415	26,728	27,833	25,307	27,818	320,390
4550 Leasing Commissions	48,300	47,311	47,473	44,179	45,437	44,680	46,799	47,498	47,926	46,128	45,096	47,412	558,240
4000 Gross Potential Rent	431,812	459,647	469,823	459,526	464,935	451,911	434,348	457,844	425,973	469,502	463,748	469,075	5,458,143
4010 Loss to Lease	378,218	397,243	384,593	352,403	388,189	358,146	376,547	355,542	394,824	369,398	391,144	401,957	4,548,204
4020 Vacancy Loss	187,953	199,394	185,252	197,207	207,706	192,158	203,356	192,183	185,350	191,895	183,749	191,323	2,317,527
4030 Concessions	123,057	135,933	128,826	136,559	122,784	139,119	127,922	125,150	125,745	133,406	125,257	140,660	1,564,417
4040 Bad Debt	24,511	23,749	24,346	25,163	23,956	23,582	25,043	24,422	24,843	22,725	24,142	22,380	288,863
4050 Late Fees	316,242	329,022	323,727	323,474	324,945	351,898	349,993	319,172	312,354	324,788	316,659	311,475	3,903,750
4060 Utility Reimbursements	111,118	118,177	119,431	119,774	112,695	122,455	108,276	118,089	114,191	106,876	110,102	120,389	1,381,574
4070 Parking Income	287,175	266,049	264,539	266,734	274,417	263,020	257,061	273,116	270,356	277,321	280,445	286,779	3,267,012

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Financial Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.15% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 10.6% annually with renewal retention above 95.1%. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

Resident turnover has averaged 7.1% annually with renewal retention above 96.8%. The going-in capitalization rate of 7.78% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 44 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 92.2% of billed charges, with bad debt of 5.4% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Collections for the period were 96.9% of billed charges, with bad debt of 7.0% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 10.9% annually with renewal retention above 90.9%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. The going-in capitalization rate of 8.18% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Debt service coverage ratio was 7.75x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $337,000 or approximately 21.19 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Operating expenses totaled $109,000 or approximately 19.61 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 8.9% annually with renewal retention above 95.2%. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. The going-in capitalization rate of 7.29% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Leasing and Marketing

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members.

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Effective gross income for the trailing period was $54,000, representing a 3.3% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	39,623	36,147	37,555	35,124	38,164	36,107	39,428	35,461	37,116	35,653	35,180	38,154	443,712
4210 Repairs - Plumbing	22,015	22,360	20,565	22,404	21,695	21,438	20,315	20,918	22,904	20,967	21,558	20,290	257,429
4220 Repairs - HVAC	31,364	33,334	30,170	31,301	31,500	32,224	33,113	32,546	32,588	30,522	33,967	30,973	383,602
4230 Repairs - Electrical	47,752	47,323	45,702	45,945	48,581	49,310	47,036	44,602	45,143	44,047	48,225	46,821	560,486
4240 Repairs - Appliances	47,469	45,850	44,603	44,862	42,815	45,356	45,646	43,122	42,766	44,734	46,382	48,483	542,086
4250 Painting & Decorating	46,977	49,514	50,610	45,875	49,068	44,273	45,449	47,671	45,099	46,543	50,804	47,435	569,318
4260 Flooring	56,643	50,921	50,764	57,495	56,440	54,013	50,995	52,880	54,433	50,786	56,106	53,718	645,192
4270 Make-Ready / Turnover	10,589	11,113	10,145	10,064	10,860	11,231	11,236	10,571	11,315	11,439	10,223	10,245	129,030
4280 Landscaping Contract	27,261	24,567	24,307	27,825	24,988	27,248	24,929	25,216	27,603	24,619	25,708	27,760	312,030
4290 Snow Removal	11,874	10,643	11,406	11,444	11,813	11,556	11,591	11,191	11,258	11,079	11,183	11,944	136,981
4300 Janitorial	44,663	39,183	40,980	41,231	43,290	42,016	39,252	41,248	41,899	43,668	44,122	39,353	500,906
4310 Pest Control	24,812	23,887	25,401	23,716	23,338	23,802	23,740	25,764	26,080	23,180	25,406	25,492	294,617
4320 Trash Removal	23,038	23,408	21,901	21,997	24,187	23,578	24,127	23,319	21,871	22,591	22,260	23,590	275,867
4330 Elevator Contract	18,885	16,840	18,570	17,967	17,572	18,170	17,028	16,984	19,060	18,870	18,748	17,620	216,312
4340 Fire & Life Safety	35,472	38,018	37,831	36,600	39,202	36,390	38,717	36,297	39,025	38,477	38,891	36,392	451,311
4350 Security	15,412	15,261	14,987	16,271	15,015	15,575	16,253	16,145	15,543	15,364	16,205	15,786	187,817
4360 Electricity - Common	16,590	18,877	17,826	17,647	17,851	18,624	18,236	18,250	18,105	16,953	16,509	17,658	213,125
4370 Gas - Common	8,124	8,617	8,714	8,978	8,276	8,954	8,127	8,406	8,025	8,081	8,347	8,823	101,473
4380 Water & Sewer	33,530	30,954	32,884	33,729	30,980	31,949	31,232	31,146	33,161	31,453	32,642	33,109	386,769
4390 Telephone/Internet	41,873	45,181	42,683	44,785	40,993	44,810	42,824	43,473	42,576	40,937	43,466	45,944	519,546
4400 Advertising	7,655	7,953	7,792	8,172	7,932	8,554	7,762	7,698	7,690	8,498	7,594	7,797	95,098
4410 Resident Events	8,304	8,390	8,659	8,442	8,533	8,706	8,660	8,135	8,637	9,280	8,509	9,011	103,267
4420 Office Supplies	34,926	35,363	32,048	34,795	32,971	34,712	36,075	36,375	35,130	34,425	35,767	33,806	416,391
4430 Legal & Professional	22,834	23,418	22,639	21,971	21,525	21,042	22,724	22,791	22,398	22,960	23,432	23,783	271,517
4440 Accounting & Audit	9,672	10,242	10,131	10,191	9,879	9,929	10,846	10,650	10,121	10,154	10,315	10,689	122,819
4450 Licenses & Permits	28,226	27,824	29,060	26,596	26,762	25,418	28,991	28,821	28,511	25,715	28,247	28,475	332,647
4460 Management Fee	47,058	47,576	48,432	45,487	52,261	49,969	49,950	48,501	46,243	50,500	51,402	45,846	583,225
4470 Property Insurance	19,554	19,092	20,724	18,365	18,643	19,258	19,717	18,353	20,529	20,427	20,713	18,810	234,183
4480 Real Estate Taxes	19,256	18,105	16,763	19,184	18,756	18,289	17,092	17,265	16,865	16,966	18,446	17,493	214,481
4490 Asset Management Fee	38,016	38,084	37,294	37,901	40,739	39,444	38,942	41,717	37,086	38,879	38,219	41,802	468,123
4500 Replacement Reserves	13,502	13,683	13,709	13,119	13,522	14,305	14,346	13,990	14,264	13,442	12,989	14,496	165,366
4510 Roof Repairs	33,094	31,012	29,965	32,432	31,846	30,327	31,612	31,983	32,579	31,308	31,674	31,293	379,125
4520 Parking Lot Repairs	11,379	12,050	12,881	12,748	12,126	12,463	13,007	12,214	12,193	12,784	12,512	12,229	148,585
4530 Signage	39,214	42,341	39,389	40,338	42,337	43,027	39,361	44,330	43,510	43,143	42,756	44,990	504,735
4540 Tenant Improvements	31,326	31,726	30,855	29,166	29,103	31,977	30,728	30,875	30,419	28,770	31,027	31,428	367,401
4550 Leasing Commissions	19,460	20,646	19,598	21,065	19,641	20,898	21,583	20,914	20,281	21,979	19,624	21,895	247,585
4000 Gross Potential Rent	425,850	478,900	467,290	441,194	480,679	443,564	473,886	447,383	451,171	431,342	421,870	470,771	5,433,902
4010 Loss to Lease	361,112	339,776	324,411	317,962	320,742	358,876	320,644	334,825	325,247	322,069	347,305	353,451	4,026,422
4020 Vacancy Loss	101,867	101,668	105,767	111,664	109,317	107,045	110,354	112,293	108,147	111,033	111,808	107,107	1,298,070
4030 Concessions	19,685	20,406	20,524	20,814	20,091	20,305	20,015	20,565	20,915	18,878	18,848	18,938	239,986
4040 Bad Debt	28,552	27,836	27,914	28,647	28,539	28,111	28,700	28,149	26,186	26,850	28,116	29,282	336,883
4050 Late Fees	211,418	211,974	206,357	196,930	196,633	215,858	211,016	192,908	207,214	194,817	197,840	202,463	2,445,428
4060 Utility Reimbursements	63,846	67,238	68,739	62,978	66,574	68,639	69,625	63,611	68,509	69,619	67,899	67,843	805,120
4070 Parking Income	428,771	416,044	378,007	405,199	386,764	414,780	400,540	430,674	405,040	413,423	404,204	415,533	4,898,979
4080 Application Fees	194,900	189,991	198,184	199,578	205,624	205,628	208,740	204,184	191,556	210,039	187,038	205,987	2,401,448
4090 Pet Rent	227,101	210,954	217,344	228,491	210,294	216,293	209,921	218,842	223,121	213,060	225,163	220,166	2,620,753
4100 Laundry Income	193,251	190,034	181,478	202,788	188,624	196,841	181,373	197,002	188,300	192,461	195,799	191,378	2,299,327

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Financial Analysis

Resident turnover has averaged 5.0% annually with renewal retention above 91.5%. Effective gross income for the trailing period was $238,000, representing a 6.0% increase over the prior year. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Operating expenses totaled $471,000 or approximately 44.74 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.19x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,915 per month against an average unit size of 997 square feet.

Management Commentary

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 40 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 19 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.1% annually with renewal retention above 96.7%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day.

Operating Performance

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 4.9% annually with renewal retention above 92.8%. Operating expenses totaled $449,000 or approximately 22.24 per square foot, with real estate taxes representing the largest line item.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $211,000 or approximately 18.60 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.39x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. Resident turnover has averaged 4.2% annually with renewal retention above 91.9%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Resident turnover has averaged 4.0% annually with renewal retention above 92.2%. Collections for the period were 92.9% of billed charges, with bad debt of 6.1% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $359,000, representing a 6.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	43,477	47,608	47,393	46,906	48,064	47,700	46,932	45,894	47,109	42,779	44,003	47,997	555,864
4530 Signage	18,170	19,364	17,586	19,423	18,363	18,206	18,318	19,088	18,814	17,611	19,650	18,336	222,929
4540 Tenant Improvements	8,688	8,386	9,273	9,377	9,508	9,041	8,936	8,632	9,193	8,934	9,480	9,540	108,988
4550 Leasing Commissions	27,433	25,593	25,878	28,458	28,743	27,770	28,939	28,959	28,009	28,211	25,851	28,002	331,846
4000 Gross Potential Rent	442,397	448,656	465,965	473,244	430,833	433,194	435,082	431,471	472,662	470,634	478,757	425,873	5,408,768
4010 Loss to Lease	159,007	140,171	151,692	148,795	146,296	158,291	157,297	139,653	145,615	157,475	154,748	153,187	1,812,228
4020 Vacancy Loss	175,345	189,083	171,453	167,790	169,254	178,627	186,018	173,892	176,140	180,898	168,601	177,824	2,114,925
4030 Concessions	351,141	357,223	337,771	325,552	324,992	357,399	330,064	350,889	330,220	347,663	337,065	348,501	4,098,480
4040 Bad Debt	63,894	67,520	66,854	68,714	67,498	66,452	61,295	63,329	64,384	65,940	67,983	60,327	784,191
4050 Late Fees	94,567	102,389	94,899	105,977	101,878	100,612	99,664	100,605	100,684	99,872	98,396	99,635	1,199,178
4060 Utility Reimbursements	361,362	399,005	358,058	392,771	394,621	405,143	407,702	403,539	399,606	392,036	386,908	388,797	4,689,548
4070 Parking Income	9,046	8,986	8,579	9,186	8,840	8,464	8,838	8,339	8,100	8,661	8,376	8,907	104,322
4080 Application Fees	54,933	57,661	54,001	59,264	57,075	57,625	58,207	57,643	52,700	55,525	58,850	57,303	680,786
4090 Pet Rent	162,344	142,021	143,930	153,534	154,779	160,109	147,058	143,633	154,585	144,797	145,716	148,876	1,801,382
4100 Laundry Income	355,648	375,310	382,646	393,175	394,344	375,848	355,420	346,723	348,567	396,600	366,767	363,505	4,454,553
4110 Cable/Internet Revenue	15,099	13,239	13,780	13,917	14,699	14,442	14,310	14,565	14,376	14,741	13,208	15,026	171,404
4120 CAM Reimbursements	219,896	236,277	222,868	210,725	218,752	238,351	222,719	218,595	222,147	215,012	221,321	225,329	2,671,991
4130 Tax Reimbursements	98,046	107,779	106,529	106,928	95,793	105,078	97,792	97,278	94,955	98,882	105,392	98,593	1,213,046
4140 Insurance Reimbursemen	182,140	182,307	189,930	176,922	190,591	198,683	191,327	201,261	190,136	201,849	181,899	200,510	2,287,556
4150 Percentage Rent	251,624	249,132	245,578	242,450	229,827	233,601	248,118	234,471	236,937	235,227	234,770	230,037	2,871,772
4160 Misc. Income	131,812	142,796	128,682	139,605	129,085	140,056	130,172	145,258	144,782	129,941	145,186	143,534	1,650,907
4170 Payroll - Management	5,483	5,467	5,522	6,060	5,438	5,979	5,743	5,836	6,104	5,961	5,815	5,531	68,940
4180 Payroll - Leasing	49,853	45,012	49,340	48,288	48,294	49,264	47,895	47,386	48,254	44,722	46,139	45,429	569,877
4190 Payroll - Maintenance	24,223	25,926	27,532	26,503	26,038	27,624	27,620	27,494	25,792	27,465	24,326	27,400	317,944
4200 Payroll Taxes & Benefits	31,467	34,222	34,909	33,797	33,999	32,427	35,750	35,639	35,005	32,157	33,056	33,184	405,613
4210 Repairs - Plumbing	16,655	15,578	16,923	15,609	17,148	16,157	16,933	15,945	16,743	17,021	16,031	16,553	197,295
4220 Repairs - HVAC	24,827	22,747	23,152	25,164	24,070	24,607	23,466	24,600	23,547	23,850	24,764	24,633	289,425
4230 Repairs - Electrical	42,932	44,865	40,952	43,627	43,164	44,782	45,379	40,680	42,146	43,565	43,168	42,289	517,549
4240 Repairs - Appliances	46,146	42,210	42,208	42,451	43,454	44,069	42,768	44,473	45,438	44,360	44,563	47,385	529,524
4250 Painting & Decorating	29,844	33,855	30,141	33,501	31,425	31,860	33,819	33,068	29,984	31,935	32,155	31,423	383,011
4260 Flooring	7,584	6,804	6,938	7,418	7,379	6,922	7,508	6,825	7,190	6,989	7,217	7,698	86,471
4270 Make-Ready / Turnover	56,660	52,780	54,566	56,741	56,952	52,621	50,452	57,365	51,263	56,654	55,032	56,388	657,473
4280 Landscaping Contract	34,604	34,091	36,137	33,525	34,804	34,938	37,412	37,659	36,858	34,408	33,904	35,264	423,605
4290 Snow Removal	46,139	49,247	44,501	44,340	47,622	48,345	43,834	44,012	44,956	48,814	46,400	43,788	551,998
4300 Janitorial	48,083	45,388	41,935	46,945	46,381	47,185	41,974	43,228	43,942	43,343	43,634	46,367	538,405
4310 Pest Control	37,890	39,276	35,290	39,146	39,391	38,308	35,530	38,701	39,034	35,941	35,729	36,372	450,607
4320 Trash Removal	27,229	25,112	24,828	24,014	26,255	27,141	25,198	26,997	26,135	27,082	26,168	26,853	313,012
4330 Elevator Contract	13,261	12,920	12,256	12,671	12,330	11,944	12,341	12,474	12,808	13,274	13,011	12,716	152,006
4340 Fire & Life Safety	38,332	38,210	38,000	38,214	34,953	37,660	36,192	35,211	36,552	37,792	33,765	38,424	443,304
4350 Security	40,036	35,759	39,255	35,161	39,386	40,355	39,996	37,000	37,574	37,866	38,027	39,820	460,235
4360 Electricity - Common	12,804	12,766	13,323	11,939	12,295	11,975	12,366	12,929	13,496	12,217	13,043	13,238	152,392
4370 Gas - Common	30,944	30,123	28,025	29,258	29,031	30,005	28,223	31,484	28,310	29,282	27,955	30,165	352,807
4380 Water & Sewer	28,241	27,450	27,448	29,222	28,077	28,590	31,278	28,307	28,956	28,144	28,169	31,093	344,974
4390 Telephone/Internet	16,694	15,682	15,569	16,712	15,253	15,684	15,579	16,633	16,787	16,518	16,979	15,605	193,695

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Financial Analysis

The going-in capitalization rate of 8.08% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $232,000 or approximately 20.52 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Resident turnover has averaged 13.8% annually with renewal retention above 96.9%.

Operating expenses totaled $345,000 or approximately 42.31 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 5.2% annually with renewal retention above 90.8%. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Debt service coverage ratio was 8.16x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $186,000, representing a 5.2% increase over the prior year.

Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Resident turnover has averaged 6.0% annually with renewal retention above 89.7%. Service requests are tracked through a work-order system with an average completion time of 6 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Operating expenses totaled $66,000 or approximately 44.72 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 12.9% annually with renewal retention above 89.4%. Effective gross income for the trailing period was $346,000, representing a 6.1% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 8.01% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Leasing and Marketing

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 39 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

Valuation Discussion

The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $62,000 or approximately 31.31 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.44x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 12.9% annually with renewal retention above 90.1%.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	31,462	32,004	33,346	31,774	30,628	32,661	33,413	33,475	31,711	31,025	33,215	31,412	386,128
4470 Property Insurance	51,848	54,993	53,748	52,008	49,078	52,109	53,863	54,833	51,701	48,964	53,408	49,680	626,233
4480 Real Estate Taxes	35,131	36,143	37,761	34,276	37,999	33,971	38,131	36,338	38,700	36,883	38,529	33,954	437,816
4490 Asset Management Fee	51,381	50,037	46,160	45,429	47,788	46,113	47,231	46,563	45,617	47,278	49,243	45,435	568,274
4500 Replacement Reserves	11,343	11,592	11,343	11,674	11,809	12,303	12,296	12,618	12,725	12,119	11,627	12,177	143,626
4510 Roof Repairs	43,159	46,966	47,298	45,412	47,359	46,401	44,463	47,273	48,109	47,030	48,075	47,290	558,834
4520 Parking Lot Repairs	19,718	21,867	22,321	20,362	21,362	22,452	19,826	21,516	22,225	20,222	22,479	20,829	255,179
4530 Signage	38,922	41,586	40,154	37,693	37,299	39,930	36,454	40,535	36,970	37,921	36,605	36,793	460,862
4540 Tenant Improvements	42,170	44,522	46,013	42,818	44,902	44,169	43,072	44,604	43,260	42,772	46,309	47,687	532,298
4550 Leasing Commissions	41,568	37,893	38,173	38,223	41,576	38,160	40,324	43,052	38,625	39,747	40,362	41,924	479,628
4000 Gross Potential Rent	450,162	432,813	447,689	473,823	448,868	472,696	453,671	470,931	424,328	457,003	447,918	451,771	5,431,673
4010 Loss to Lease	393,390	398,127	409,472	405,832	392,612	415,597	407,263	398,392	419,028	385,160	390,847	370,650	4,786,370
4020 Vacancy Loss	372,495	358,152	361,927	326,438	346,052	362,843	331,814	337,646	331,937	350,707	349,139	371,491	4,200,641
4030 Concessions	16,109	16,158	15,925	17,418	16,385	16,985	15,546	16,004	15,666	17,014	15,777	17,672	196,659
4040 Bad Debt	391,728	386,262	404,618	403,680	398,267	391,936	365,089	375,374	397,992	377,891	386,698	370,802	4,650,338
4050 Late Fees	52,909	49,059	53,422	49,248	51,287	48,338	50,219	53,082	53,075	47,746	51,942	51,684	612,011
4060 Utility Reimbursements	182,825	176,340	163,474	162,285	161,076	167,189	172,709	180,398	160,874	165,178	183,287	174,973	2,050,608
4070 Parking Income	363,380	354,806	319,972	345,524	358,441	323,759	349,582	350,033	335,532	352,224	351,508	347,820	4,152,581
4080 Application Fees	265,662	286,268	279,979	270,771	271,919	282,220	276,469	260,607	290,130	282,699	286,431	279,991	3,333,147
4090 Pet Rent	58,708	53,617	60,378	58,221	59,893	60,473	54,553	54,195	59,414	60,655	59,737	56,313	696,159
4100 Laundry Income	327,020	363,677	358,657	333,291	333,539	360,827	325,831	364,418	354,048	334,519	329,424	329,797	4,115,048
4110 Cable/Internet Revenue	99,721	99,922	100,840	102,234	99,629	107,321	108,880	106,074	107,064	109,031	100,420	112,228	1,253,363
4120 CAM Reimbursements	289,565	320,365	305,230	297,365	317,909	313,504	307,660	292,914	314,426	315,364	316,044	310,688	3,701,035
4130 Tax Reimbursements	271,764	282,881	284,550	269,229	256,981	276,374	269,591	274,682	279,215	255,035	255,854	254,236	3,230,392
4140 Insurance Reimbursemen	263,596	250,130	257,597	249,920	255,239	262,510	246,227	253,825	232,856	245,509	244,039	257,502	3,018,950
4150 Percentage Rent	201,838	190,615	210,969	208,568	196,808	200,350	202,538	204,950	206,978	203,877	203,389	217,547	2,448,428
4160 Misc. Income	357,889	395,674	365,826	356,299	354,977	390,075	398,915	358,274	373,674	399,473	381,995	348,480	4,481,550
4170 Payroll - Management	17,097	16,469	17,129	18,027	17,827	17,411	17,754	17,195	17,730	16,488	17,993	17,547	208,667
4180 Payroll - Leasing	22,208	21,505	22,172	23,236	20,448	22,489	22,239	21,846	22,047	21,552	23,347	20,528	263,617
4190 Payroll - Maintenance	35,564	35,508	38,397	37,384	40,041	36,521	38,082	35,851	35,565	40,466	36,665	38,629	448,673
4200 Payroll Taxes & Benefits	49,287	49,358	46,694	49,335	47,181	44,528	46,902	46,224	50,067	47,271	44,383	50,608	571,837
4210 Repairs - Plumbing	23,368	23,354	20,936	22,776	22,025	21,510	22,109	22,253	22,493	21,499	23,113	20,814	266,249
4220 Repairs - HVAC	39,981	39,090	37,953	35,467	36,045	36,091	39,564	38,437	39,672	37,920	37,755	40,011	457,985
4230 Repairs - Electrical	17,729	18,443	17,465	18,809	18,014	19,095	18,365	17,706	18,649	17,481	18,158	18,463	218,376
4240 Repairs - Appliances	38,404	34,811	37,139	34,506	37,092	38,786	37,970	36,609	36,816	36,394	38,323	36,367	443,215
4250 Painting & Decorating	27,742	26,316	26,031	27,421	28,084	28,104	25,663	27,599	26,873	26,139	28,231	26,017	324,221
4260 Flooring	45,795	50,342	50,522	49,348	45,290	48,079	44,940	44,777	47,738	47,835	49,967	49,030	573,661
4270 Make-Ready / Turnover	40,999	40,095	44,026	44,228	41,744	42,180	42,096	41,449	41,851	42,878	39,021	43,252	503,819
4280 Landscaping Contract	21,474	20,810	21,108	21,804	22,023	20,151	22,648	20,733	20,370	20,957	22,704	21,949	256,730
4290 Snow Removal	46,057	50,097	49,509	47,944	46,848	45,226	47,690	45,850	47,098	47,729	48,715	46,023	568,788
4300 Janitorial	25,148	24,258	26,869	25,541	25,549	24,462	26,101	25,915	25,361	26,701	27,196	24,472	307,573
4310 Pest Control	43,200	43,138	44,705	46,206	44,638	40,919	43,503	46,594	46,112	45,734	46,344	41,947	533,039
4320 Trash Removal	26,507	28,691	29,037	29,990	27,806	29,067	28,824	28,317	29,299	29,598	26,746	26,153	340,035
4330 Elevator Contract	34,612	35,774	35,065	35,535	34,995	38,982	39,108	36,797	37,679	38,191	34,626	34,445	435,809
4340 Fire & Life Safety	28,296	28,247	25,831	25,777	26,397	25,088	25,259	25,077	27,241	25,407	26,524	27,963	317,108

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Valuation Discussion

Average in-place rent is $1,915 per month against an average unit size of 997 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $227,000, representing a 11.2% increase over the prior year. Resident turnover has averaged 5.2% annually with renewal retention above 92.0%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 6.07x on a trailing basis against a covenant minimum of 1.20x.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Operating expenses totaled $80,000 or approximately 36.80 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $124,000, representing a 8.3% increase over the prior year.

Property Operations

Collections for the period were 96.5% of billed charges, with bad debt of 6.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 19 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $469,000, representing a 5.0% increase over the prior year. Resident turnover has averaged 11.1% annually with renewal retention above 94.5%.

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.06x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.6% of billed charges, with bad debt of 7.7% of gross potential income. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day.

Collections for the period were 88.3% of billed charges, with bad debt of 3.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members.

Valuation Discussion

Effective gross income for the trailing period was $119,000, representing a 9.6% increase over the prior year. The going-in capitalization rate of 7.24% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $234,000 or approximately 33.01 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4420 Office Supplies	45,843	50,126	47,743	46,754	49,727	47,722	48,991	44,679	49,988	44,659	47,955	47,550	571,737
4430 Legal & Professional	33,122	36,759	37,753	35,947	33,267	37,123	37,406	36,452	36,779	34,385	34,544	37,780	431,318
4440 Accounting & Audit	48,038	48,468	46,337	43,930	45,700	44,349	43,709	43,387	46,971	44,610	47,308	44,130	546,935
4450 Licenses & Permits	41,891	44,864	42,561	40,632	44,013	39,265	40,197	44,507	40,390	44,008	42,576	44,789	509,692
4460 Management Fee	14,627	13,557	13,567	13,665	14,756	14,647	14,709	13,197	13,632	13,704	14,837	14,638	169,537
4470 Property Insurance	13,072	14,410	13,732	13,742	14,213	14,700	13,885	13,085	14,481	14,298	13,176	14,238	167,033
4480 Real Estate Taxes	51,292	49,646	49,534	53,651	56,304	55,261	50,184	51,430	50,515	55,713	49,702	50,129	623,360
4490 Asset Management Fee	11,966	11,639	11,664	10,420	11,630	11,436	10,822	11,088	11,735	11,634	10,867	10,692	135,592
4500 Replacement Reserves	28,623	28,926	29,907	26,888	30,014	30,371	28,512	28,576	28,074	27,032	29,630	28,736	345,290
4510 Roof Repairs	56,451	50,543	54,786	52,348	51,959	56,736	51,929	52,732	56,133	50,554	55,318	55,587	645,076
4520 Parking Lot Repairs	42,771	45,534	40,160	39,955	44,544	45,395	45,344	44,308	41,700	45,269	42,911	45,218	523,109
4530 Signage	12,065	11,188	11,643	11,699	11,625	12,040	12,063	12,089	11,647	11,019	11,331	11,845	140,255
4540 Tenant Improvements	35,209	35,732	35,204	34,347	36,795	36,761	37,812	36,664	38,001	38,804	34,652	38,691	438,674
4550 Leasing Commissions	31,928	29,653	31,647	29,205	31,752	31,212	33,220	31,838	32,465	30,141	31,116	31,218	375,396
4000 Gross Potential Rent	478,846	426,374	474,201	453,786	421,257	467,985	450,485	440,071	437,182	429,634	478,825	440,831	5,399,478
4010 Loss to Lease	270,155	291,234	271,903	270,618	283,594	279,282	269,105	305,448	281,316	303,255	290,288	279,247	3,395,444
4020 Vacancy Loss	62,654	57,026	59,572	60,530	60,616	60,700	58,655	61,998	57,970	59,413	63,938	59,213	722,285
4030 Concessions	177,034	174,689	189,981	193,664	191,074	179,648	179,355	178,005	173,402	185,368	170,327	174,070	2,166,615
4040 Bad Debt	94,732	94,068	91,637	97,918	91,936	89,786	90,181	94,750	93,824	97,510	93,684	92,317	1,122,343
4050 Late Fees	232,038	250,353	239,220	241,099	238,173	258,795	246,323	244,930	249,830	239,994	235,448	254,721	2,930,925
4060 Utility Reimbursements	37,156	34,138	37,487	36,258	35,805	37,865	33,359	36,189	33,537	34,813	38,114	34,565	429,285
4070 Parking Income	388,438	366,171	388,894	359,106	356,591	383,093	354,045	355,951	402,658	385,974	353,593	363,890	4,458,404
4080 Application Fees	199,547	198,096	198,963	196,122	180,583	190,673	191,154	188,011	192,384	188,096	182,730	188,073	2,294,433
4090 Pet Rent	167,839	153,203	166,121	152,227	155,881	169,656	154,715	153,362	164,660	162,380	170,608	162,668	1,933,320
4100 Laundry Income	100,945	92,014	95,067	89,093	94,484	100,272	89,734	101,389	95,673	96,629	101,027	101,040	1,157,367
4110 Cable/Internet Revenue	325,539	352,951	332,852	336,334	346,864	326,262	322,618	336,499	346,841	327,430	367,578	322,669	4,044,436
4120 CAM Reimbursements	38,915	35,608	36,511	35,800	37,687	34,939	36,699	34,926	37,077	34,178	37,779	38,016	438,135
4130 Tax Reimbursements	288,537	285,700	312,924	291,541	310,010	314,910	308,942	297,500	299,149	319,986	293,885	295,960	3,619,045
4140 Insurance Reimbursemen	345,433	350,908	375,548	387,173	393,198	367,479	376,667	373,040	346,905	389,127	356,324	392,159	4,453,961
4150 Percentage Rent	194,744	210,597	203,055	218,100	200,654	203,522	218,084	209,745	209,825	214,826	199,195	190,829	2,473,177
4160 Misc. Income	209,509	212,100	202,538	201,946	191,807	200,232	193,042	191,835	187,933	198,808	198,220	197,650	2,385,621
4170 Payroll - Management	36,270	34,326	31,743	34,974	35,363	34,377	34,216	33,274	35,600	34,357	35,514	34,149	414,160
4180 Payroll - Leasing	29,049	31,947	32,021	28,814	29,535	30,764	30,074	30,824	30,400	28,937	29,348	30,137	361,850
4190 Payroll - Maintenance	14,164	13,633	13,095	14,469	13,539	13,860	12,668	13,845	13,740	13,784	13,627	12,872	163,297
4200 Payroll Taxes & Benefits	51,641	46,754	45,829	47,090	51,468	49,770	50,163	51,412	47,075	50,763	46,743	50,930	589,637
4210 Repairs - Plumbing	18,853	18,975	18,415	18,314	17,373	18,015	17,791	17,697	18,252	17,062	18,004	17,125	215,877
4220 Repairs - HVAC	20,457	21,229	20,054	21,967	20,904	20,508	20,028	22,166	22,426	19,847	22,075	19,995	251,656
4230 Repairs - Electrical	39,384	41,141	40,423	39,858	40,726	40,958	38,008	42,889	42,706	42,743	37,408	39,272	485,517
4240 Repairs - Appliances	22,270	22,658	24,329	22,301	22,350	23,842	23,021	23,068	22,514	23,457	25,403	23,510	278,722
4250 Painting & Decorating	27,080	24,137	24,864	25,404	27,053	26,448	26,062	24,743	27,055	26,820	25,269	24,123	309,059
4260 Flooring	11,141	10,162	10,882	10,273	10,461	9,794	10,641	10,192	10,495	10,179	11,213	9,805	125,240
4270 Make-Ready / Turnover	43,771	42,094	45,297	45,331	43,880	41,082	43,109	45,319	46,184	42,457	43,478	42,100	524,103
4280 Landscaping Contract	35,500	34,366	36,690	37,495	34,609	35,278	36,277	36,473	35,563	35,331	33,887	37,490	428,959
4290 Snow Removal	9,721	9,204	9,250	9,029	8,851	8,908	9,417	8,942	9,196	9,161	10,123	9,624	111,426
4300 Janitorial	37,153	38,137	40,778	39,154	36,984	37,602	40,449	38,323	39,208	37,758	39,745	40,356	465,648
4310 Pest Control	8,323	8,222	8,873	8,532	9,066	8,925	8,403	8,323	8,101	8,508	8,231	8,489	101,996

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Summary and Notes

Operating Performance

Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $259,000 or approximately 23.38 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 43 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Average in-place rent is $1,915 per month against an average unit size of 997 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 91.6% of billed charges, with bad debt of 4.7% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members.

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